



Assets and inventory

A company's possessions, or assets, are divided into two categories: fixed (or long-term) assets and current (or short-term) assets. Current assets consist of cash in the bank and inventory.

How it works

Fixed assets are items that enable a business to operate. They tend to be long-term holdings and cannot be easily converted into cash. Fixed assets can be categorized as either tangible or intangible: tangible assets are material objects, while intangible assets have no physical form.

Current assets are held for the short term and used mainly for trading. The most important category in terms of generating revenue is current assets. The key component of these is inventory. Inventory can be finished goods ready for sale, but it can also be the raw materials that will be used for producing the goods.



NEED TO KNOW

➤ **Asset valuation** A method of assessing the value of a company's holdings. Asset valuations may take place prior to a merger or the sale of the business, or for insurance purposes

Assets and inventory in practice

The partial balance sheets below show the current assets of a branch of Super Sports Inc., a sportswear and sports accessories company. These assets include cash in the bank and inventory held by the company. The inventory in this case consists of all the items in the shop that are ready for sale.

Super Sports Inc.	
May 31	
Assets	\$
Cash at bank	12,000
Inventories	22,000
Total assets	34,000

Balance sheet as of May 31

The "Assets" section of the balance sheet shows that the company holds \$22,000 worth of inventory (or goods) at this point in time, as well as \$12,000 cash in the bank.

Super Sports Inc.	
June 15	
Assets	\$
Cash at bank	54,000
Inventories	0
Total assets	54,000

Balance sheet as of June 15

Two weeks later, the company sells all of its inventory for \$42,000 and receives payment for this sale on the same day. This means that total assets have risen by \$20,000—the profit made on the sale of the inventory—and increases the amount of cash in the bank by \$42,000.